ACCOUNT UPDATE · FULL DETAIL

Pearson

Trading update · Nine months to 30 September 2026 · released 22 October 2026

> Pearson reported 5% underlying revenue growth for the nine-month period, accelerated to 6% in Q3, and narrowed its adjusted operating profit guidance to £650m-£675m. Two strategic acquisitions were announced to strengthen assessment and AI-driven enterprise capabilities.

1 Results at a glance

- Underlying revenue up 5% YoY, 6% in Q3
- Adjusted operating profit range narrowed to £650m-£675m
- Virtual Learning revenue +17%, Assessment & Qualifications revenue +4% (Q3 +10%)
- English Language Learning revenue down 4% (Q3 down 5%)
- Acquired ITS and agreed to acquire Workera

2 Guidance

Guidance — Narrowed

ITEM	NOW	BEFORE	STATUS
Adjusted operating profit	£650m-£675m	£640m-£685m	Narrowed
Underlying revenue growth	mid-single digit growth	—	Kept
Free cash flow conversion	90%-100%	—	Kept

Guidance expressed on an underlying basis at FX rates as at end-2025 (£:$1.35) Re-organisation costs of c. £50m excluded from adjusted operating profit

Outlook by business

- **Assessment & Qualifications:** low-to-mid single-digit revenue growth for full year
- **Virtual Learning:** full-year growth unchanged, stronger than 2025
- **Higher Education:** continue to grow in 2026
- **English Language Learning:** institutional growth expected, PTE expected to decline

Medium-term targets

- Mid-single digit underlying revenue growth CAGR
- Sustained margin improvement
- Free cash flow conversion of 90%-100% on average

3 How each business is doing

Assessment & Qualifications — Revenue +4% YoY, Q3 +10%

- Growth driven by new contracts and AI skills verification demand
- Professional assessments revenue accelerated with global certification programme with Anthropic
- Clinical Assessment revenue grew 8% YoY

Virtual Learning — Revenue +17% YoY, Q3 +13%

- Enrolment growth 8% in Fall semester for 2026/27 academic year
- Funding upside and favourable mix supporting growth

Higher Education — Revenue +2% YoY, Q3 +2%

- US Higher Education growth driven by Inclusive Access (+20%)
- International Higher Education growth from enterprise partnership monetisation

English Language Learning — Revenue –4% YoY, Q3 –5%

- Institutional segment offsetting decline in PTE
- New AI-driven PTE practice tools launched

Enterprise Learning & Skills — Revenue +7% YoY, Q3 +6%

- Growth from newly awarded contracts and extension of existing deals
- Strong demand for outcome-based skilling programmes

4 Organisation changes (from 2026-09-30)

Pearson is re-segmenting into four customer-focused business units and adopting a new operating model.

UNIT	SIZE	WHAT IT INCLUDES	LEADER
Assessment & Qualifications	—	core assessment and verification infrastructure	—
Virtual Learning	—	digital content and enrolment growth	—
Higher Education	—	inclusive access and US growth	—
Enterprise Learning & Skills	—	skills verification and AI-driven talent platform	—

- One-off reorganisation costs of c.£50m across FY26-FY27 (excluded from adjusted operating profit).
- Savings from the re-organisation will be reinvested into growth-oriented core capabilities.
- Re-segmentation aims to sharpen accountability, improve agility and performance.

5 Leadership changes

PERSON	ROLE	CHANGE
Omar Abbosh	Chief Executive Officer	Unchanged
Tom ap Simon	President, Higher Education and Virtual Learning	Appointed Effective during 2026 trading update

Unchanged: Omar Abbosh (Chief Executive)

6 Technology & IT spending

Acquisitions to integrate

- Completed acquisition of ITS, a trusted assessment technology partner (official).
- Agreed to acquire Workera, an AI-native enterprise assessment platform; expected completion before year-end (official).

AI & digital products

- Launched AI-powered co-writing assistant for assessment products (official).
- Developed AI-driven skills intelligence platform for enterprise customers (official).

Platform convergence & cost

- £87m non-cash impairment of legacy product development assets to converge platforms (official).
- Expected operating profit improvement of c.£15m per annum from platform convergence (official).

7 Contracts & partnerships

NAME	TYPE	DETAIL
ITS	Acquisition	Completed acquisition of ITS, a trusted assessment technology partner
Workera	Acquisition	Agreed to acquire Workera, an AI-native enterprise assessment pioneer; expected to close before year-end

8 Pressures & risks

- One-off reorganisation costs of c.£50m across FY26-FY27
- Non-cash impairment of £87m on legacy product development assets
- Market pressure on English Language Learning, especially PTE segment

9 In management's words

- “Pearson delivered accelerated revenue growth in the quarter, meaning we are on track to deliver our 2026 guidance.” — Omar Abbosh, Chief Executive

10 Key dates

DATE	EVENT
30 September 2026	End of nine-month reporting period
11 October 2026	Virtual Schools Investor Seminar (online)

Sources

Official: PEARSON 2026 NINE MONTH TRADING UPDATE
Leadership and technology items marked (news): recent news headlines
Read automatically from public documents. Numbers, names and quotes not found in the sources were removed.
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